Superior Execution; Demand shaping-up

Est. Vs. Actual for Q1 FY25: Revenue – BEAT ; EBIT Margin – BEAT ; PAT – BEAT ; Deal Wins – BEAT

Change in Estimates post Q1FY25 (Abs.)

FY25E/FY26E: Revenue 1%/ 2%; **EBITDA** 1%/ 2%; **PAT** 1%/ 2%

Recommendation Rationale

- **Execution prowess:** TCS has demonstrated commendable execution even during challenging times by increasing client engagement, which has helped it report encouraging margin expansion.
- **Demand slowly picking up:** BFSI and Retail verticals reported sluggish growth; however, there are some green shoots and increased client engagement. The management also indicated increased visibility over automation spend in these sectors. The Telecom vertical is still witnessing sluggish demand.
- **Healthy medium to long-term outlook:** The management remains confident about the medium to long-term outlook and expects it to remain healthy moving forward. Furthermore, it has indicated that FY25 is likely to be better than FY24.

Sector Outlook: Cautiously positive

Company Outlook & Guidance: Supply-side constraints are easing up, which will help the company achieve some margin expansion in the near term. The industry's and the company's long-term outlook remain constructive.

Current Valuation: 26x FY26E P/E; Earlier Valuation: 26x FY25E

Current TP: 4,250/share (Earlier TP: Rs 4,250/share)

Recommendation: With a strong deal pipeline and increasing demand for newer technologies, we believe TCS will demonstrate quicker recovery in H2FY25. Hence, we maintain our HOLD rating on the stock.

Outlook

From a long-term perspective, we believe TCS has built a resilient business model by securing multiple long-term contracts with the world's leading brands. It has also established robust capabilities that will enable it to gain market share moving ahead. However, prevailing uncertainties in large economies continue to pose short-term headwinds to the company's growth prospects. Nonetheless, we believe discretionary spending will gradually increase with newer technologies moving forward.

Valuation & Recommendation

TCS management sees green shoots in some pockets and expects FY25 to be better than FY24. We are constructive on the long-term outlook of the company and expect quicker recovery in H2FY25 and onwards. Against this backdrop, we **maintain our HOLD rating on the stock** and assign a 26x P/E multiple to its FY26E earnings of Rs 163.25/share to arrive at a TP of Rs 4,250/share, implying an upside of 8% from the CMP.

Key Financials (Consolidated)

(Rs Cr)	Q1FY25	QoQ (%)	YoY (%)	Axis Est.	Variance
Net Sales	62,613	2.25%	5%	62,195	1%
EBIT	15,442	-3%	12%	14475	7%
EBIT Margin	25%	-133	150	23%	175 bps
Net Profit	12,040	-3.17%	12,434	11,452	5%
EPS (Rs)	33.28	-3.17%	34	32.8	1%

Source: Company, Axis Research

(CMP as of 11 July 2024)

CMP (Rs)	3,923
Upside /Downside (%)	8%
High/Low (Rs)	4,255/3,250
Market cap (Cr)	14,19,267
Avg. daily vol. (6m)Shrs.	1,923
No. of shares (Cr)	366

Shareholding (%)

	Sept-23	Dec-23	March-24
Promoter	72.3	72.4	71.8
FIIs	12.5	12.5	12.7
MFs / UTI	3.5	3.5	4.1
Banks / FIs	0.1	0.1	0.0
Others	11.7	11.6	11.5

Financial & Valuations

Y/E Mar (Rs Cr)	FY24	FY25E	FY26E
Net Sales	2,40,893	2,62,533	2,86,877
EBITDA	63,451	70,359	76,883
Net Profit	45,908	53,474	60,363
EPS (Rs)	124.63	144.62	163.25
PER (x)	30.57	26.24	23.25
P/BV (x)	11.22	8.62	6.83
EV/EBITDA (x)	21.60	18.88	16.53
ROE (%)	40%	35%	31%

Change in Estimates (%)

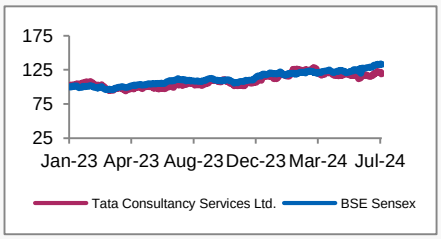
Y/E Mar	FY25E	FY26E
Sales	1%	2%
EBITDA	1%	2%
PAT	1%	2%

ESG disclosure Score**

Environmental Disclosure	51.5
Social Disclosure Score	34.1
Governance Disclosure Score	91.1
Total ESG Disclosure Score	**59.0**
Sector Average	**46.0**

**Note: This score measures the amount of ESG data a company reports publicly and does not measure the company's performance on any data point. All scores are based on 2022 disclosures

Relative performance



Source: AceEquity, Axis Securities

Omkar Tanksale
Research Analyst
Email: omkar.tanksale@axissecurities.in

Financial Performance

In Q1FY25, **Tata Consultancy Services Ltd. (TCS)** reported revenue of Rs 62,615 Cr, up 2.3% on a QoQ basis (in rupee terms) which stood above our expectations. On a YoY basis, it posted revenue growth of 5%. The company reported operating profits of Rs 15,442 Cr and operating margins of 24.7%, down 130bps QoQ. This was on account of wage hikes and elevated sub-con costs. Attrition levels dropped by 40bps to 12.1%. However, it continues to loom concerns over the company's execution efficiency in the future.

The management commentary on the verticals such as Communication was cautious. Furthermore, it expects the company to report moderate growth in the near term and witnessed increased client engagement on some accounts and improved visibility. On a brighter note, deal-wins for the quarter continued strong and remained high. Moreover, deal wins were spread across verticals and geographies and stood at $13.2 Bn (BFSI TCV at $4.1 Bn, Consumer Business TCV at $1.6 Bn). TCS expects technology spending to remain resilient and expects the secular tailwinds to drive healthy growth over the medium to long term.

Recommendation Rationale & Key Highlights

- **Management is confident of continuing strength in the demand environment in the medium term to long term:** The US is relatively weaker in terms of demand. On the other hand, the UK is seeing higher cost optimization deals with faster decision-making, although the European market will continue to remain resilient. As the macro environment stabilizes, the company expects a pick-up in decision-making around IT spends. Demand for newer technologies such as Generative AI, Machine Learning, Digital Transformations, Cloud Transformations, etc. remains resilient even during challenging times.
- **Broad-based vertical growth:** TCS delivered broad-based growth in the majority of the verticals during the quarter. Growth in Q1FY25 was led by Energy Resources & Utilities (+5.7% YoY) and Manufacturing (+9.4% YoY). Regional markets and other verticals grew by 37.7% YoY. Life Sciences & Healthcare grew by 4% YoY. However, Consumer business de-grew marginally by 0.3%, while Technology & Services de-grew by 3.9%. The BFSI vertical also reported a de-growth of 0.9%, while Communications & Media de-grew by 7.4%. The management sees green shoots in small pockets such as BFSI, Manufacturing, and Automobiles. However, Telecoms are still facing delays in decision-making.
- **Better geographical performance:** On the geographical front, India's business grew by 61.8% YoY, primarily aided by the BSNL deal. Latin America (1.9% of revenue) grew by 6.3%, the UK (16.9% of revenue) grew by 6% YoY, and Continental Europe (14.4% of revenue) grew by 0.9% YoY. However, North America (49.5% of revenue) posted a de-growth of 1.1% YoY.
- TCS announced a interim dividend of Rs 10/share.

Key Risks to our Estimates and TP

- The demand environment is uncertain because of the potential threat of recession from the world's largest economies.
- The rising subcontracting cost and cross-currency headwinds may impact operating margins negatively.

Revenue Distribution by Geography – New Classification

	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25
Americas					
North America	52%	52%	51%	52%	50%
Latin America *	2%	2%	2%	2%	2%
Europe					
UK	16%	17%	16%	16%	17%
Continental Europe	16%	15%	15%	15%	14%
India					
Asia Pacific	8%	8%	8%	8%	8%
MEA	2%	2%	2%	2%	2%

Source: Company, Axis Research

Revenue Distribution by Industry Domain

	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25
BFSI	31%	33%	32%	33%	31%
Consumer business	16%	16%	16%	16%	15%
Communication & Media	6%	7%	7%	7%	6%
Manufacturing	10%	9%	9%	8%	9%
Life Science & Healthcare	11%	11%	11%	11%	11%
Technology & Services	9%	9%	8%	9%	8%
Regional Markets & Others	18%	11%	12%	11%	14%
Total	**100%**	**100%**	**100%**	**100%**	**100%**

Source: Company, Axis Research

Client Parameters

	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25
USD 1 Mn clients *	1,268	1,272	1,288	1,294	1,310
USD 5 Mn clients *	677	688	693	693	697
USD 10 Mn clients *	468	483	480	487	486
USD 20 Mn clients *	296	292	299	301	300
USD 50 Mn clients *	137	137	137	139	140
USD 100 Mn clients *	60	61	61	62	63

Source: Company, Axis Research

Employee Parameters

	Q1 FY24	Q2 FY24	Q3 FY24	Q4 FY24	Q1 FY25
Total Headcount	6,15,318	6,08,905	6,03,305	6,01,547	6,06,998
Net Addition	523	-6,413	-5,600	-1,758	5,451
Attrition (%)	18%	14.90%	13.30%	12.50%	12.10%

Source: Company, Axis Research

Results Review

(Rs Cr)

In Cr	Q1FY25	Q4FY24	Q1FY24	% change (YoY)	% change (QoQ)
Total Revenue	**62,613**	**61,237**	**59,381**	**5%**	**2.25%**
Cost of revenue	37,661	36,046	35,916		
Gross Margin	**24,952**	**25,191**	**23,465**		
SG&A Expenses	9,510	9,273	9,710		
Operating Income	**15,442**	**15,918**	**13,755**	**12%**	**-3%**
Margin(%)	24.66%	25.99%	23.16%	150	-133
Total Other Income/(Expense)	789	931	1234		
Income Before Income Taxes	**16,231**	**16,849**	**14,989**	**8%**	**-3.67%**
Total Taxes	4,126	4,347	3,869		
ETR (%)	25%	26%	26%	(39)	(38)
Net Profit After Taxes	**12,105**	**12,502**	**11,120**	**9%**	**-3.18%**
Non Controlling Interest	65	68	46		
Net Income After Extraordinary Items	**12,040**	**12,434**	**11,074**	**9%**	**-3.17%**
Margin(%)	19%	20%	19%	23	(108)
EPS	**33.28**	**34.37**	**30.26**	**10%**	**-3.17%**

Source: Company, Axis Securities

Financials (Consolidated)

Profit & Loss (Rs Cr)

Y/E March	FY22	FY23	FY24	FY25E	FY26E
Net sales	**1,91,754**	**2,25,458**	**2,40,893**	**2,62,533**	**2,86,877**
Total income	**1,91,754**	**2,25,458**	**2,40,893**	**2,62,533**	**2,86,877**
Employee Cost	1,07,554	1,27,522	1,40,132	1,48,856	1,62,659
Fees to External Consultants	*17,410*	*21,335*	*15,820*	*24,153*	*26,393*
Cost of Equipment and Software Licenses	*1,298*	*1,881*	*3,702*	*1,313*	*1,434*
Travel	*1,588*	*2,676*	*2,972*	*2,100*	*2,295*
Communication	*2,051*	*2,245*	*2,263*	*1,313*	*1,434*
Facility Expenses	*2,139*	*2,654*	*3,100*	*2,625*	*2,869*
Other Costs	*6,657*	*7,885*	*9,453*	*11,814*	*12,909*
Total cost	**1,38,697**	**1,66,198**	**1,77,442**	**1,92,174**	**2,09,994**
EBITDA	**53,057**	**59,260**	**63,451**	**70,359**	**76,883**
Other income	3,234	2,670	3,644	3,938	4,303
PBIDT	56,291	61,930	67,095	74,297	81,186
Depreciation	4,604	5,023	4,984	4,797	4,797
Interest & Fin Chg.	2	0	0	0	0
E/o income / (Expense)	0	0	-114	0	0
Pre-tax profit	51,685	56,907	61,997	69,500	76,389
Tax provision	13,238	14,604	15,898	16,007	16,007
(-) Minority Interests	-122	-156	-191	-19	-19
Associates	0	0	0	0	0
Profit after Tax	38,325	42,147	45,908	53,474	60,363
PAT after Comprehensive Income	**38,325**	**42,147**	**45,908**	**53,474**	**60,363**

Source: Company, Axis Securities

Balance Sheet (Rs Cr)

Y/E March	FY22	FY23	FY24	FY25E	FY26E
Total assets	**32,699**	**35,523**	**38,192**	**43,056**	**47,968**
Net Block	43,053	47,326	51,083	58,290	65,179
CWIP	11,210	12,328	13,428	15,641	17,656
Investments	31,843	34,998	37,655	42,649	47,523
Cash / Bank balance	882	955	372	407	446
Misc. Assets	157	-632	165	0	0
Capital employed	0	0	0	0	0
Equity capital	32,699	35,523	38,192	43,056	47,968
Reserves	56	315	2,661	6,418	6,418
Minority Interests	621	7,326	0	0	0
Borrowings	-4,796	6,118	3,575	-874	-10,781
Def Tax Liabilities	36,818	21,764	31,956	42,516	57,454

Source: Company, Axis Securities

Cash Flow (Rs Cr)

Y/E March	FY22	FY23	FY24	FY25E	FY26E
Sources	**32,699**	**35,523**	**38,192**	**43,056**	**47,968**
Cash profit	43,053	47,326	51,083	58,290	65,179
(-) Dividends	11,210	12,328	13,428	15,641	17,656
Retained earnings	31,843	34,998	37,655	42,649	47,523
Issue of equity	(4)	-	-	-	-
Change in Oth. Reserves	882	955	372	407	446
Borrowings	157	(632)	165	-	-
Others	(179)	202	-	-	-
	-	-	-	-	-
Applications	**32,699**	**35,523**	**38,192**	**43,056**	**47,968**
Capital expenditure	56	315	2,661	6,418	6,418
Investments	621	7,326	-	-	-
Net current assets	(4,796)	6,118	3,575	(874)	(10,781)
Change in cash	36,818	21,764	31,956	42,516	57,454
Closing cash	27,625	27,625	27,625	27,625	27,625

Source: Company, Axis Securities

Ratio Analysis **(%)**

Y/E March	FY22	FY23	FY24	FY25E	FY26E
Sales growth	**16.8**	**17.6**	**6.8**	**9.0**	**9.3**
OPM	**28**	**26**	**26**	**27**	**27**
Oper. profit growth	14	12	7	11	9
COGS / Net sales	56	57	58	57	57
Depreciation / G. block	-6307	-1036	1028	-989	-41
Effective interest rate (%)	0	0	0	0	0
Net wkg.cap / Net sales	0.3	0.3	0.3	0.3	0.2
Net sales / Gr block (x)	43.7	46.5	45.0	44.9	45.2
RoCE	**52%**	**56%**	**52%**	**45%**	**39%**
Debt / equity (x)	0.1	0.1	0.1	0.0	0.0
Effective tax rate	25.6	25.7	25.6	23.0	21.0
RoE	**40%**	**43%**	**40%**	**35%**	**31%**
Payout ratio (Div/NP)	25	25	25	25	25
EPS (Rs.)	**103.9**	**114.4**	**124.6**	**144.6**	**163.2**
EPS Growth	16.0	10.0	9.0	16.0	12.9
CEPS (Rs.)	116.1	127.5	137.6	157.5	176.2
DPS (Rs.)	25.9	28.5	31.0	36.1	40.8

Source: Company, Axis Securities

Tata Consultancy Services Price Chart and Recommendation History

Date	Reco	TP	Research
13-Jan-22	HOLD	4,200	Result Update
12-Apr-22	BUY	4,200	Result Update
11-Jul-22	HOLD	3,460	Result Update
19-Aug-22	HOLD	3,650	AAA
11-Oct-22	BUY	3,460	Result Update
10-Jan-23	HOLD	3,650	Result Update
13-Apr-23	HOLD	3,350	Result Update
13-Jul-23	HOLD	3,350	Result Update
12-Oct-23	HOLD	3,790	Result Update
11-Jan-24	HOLD	4,075	Result Update
15-Apr-24	HOLD	4,250	Result Update
12-Jul-24	HOLD	4,250	Result Update

Source: Axis Securities

About the analyst

Omkar Tanksale

Research Analyst

omkar.tanksale@axissecurities.in

Call: (022) 4267 1737

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NEERAJ CHADAWAR

Digitally signed by NEERAJ CHADAWAR
Date: 2024.07.12 09:25:26 +05'30'